

Federal Tax Law Research Dossier: Tax Year 2025 Forward

Small & Closely Held Businesses | Pass-Through Entities | HNW Individuals | Domestic & Cross-Border Planning

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Executive Summary

The One Big Beautiful Bill Act (OBBBA), signed July 4, 2025 (Public Law 119-21), is the most significant federal tax legislation since the 2017 Tax Cuts and Jobs Act (TCJA). It permanently extends and expands the core TCJA business and individual provisions that were scheduled to sunset December 31, 2025, while layering in new incentives, revised international rules, and modified estate/transfer tax regimes. The transfer tax landscape is fundamentally altered: the unified exclusion rises to a permanent \$15 million per person effective January 1, 2026, confirmed by [Rev. Proc. 2025-32](#) and the [IRS 2026 inflation announcement](#).

For closely held businesses and their owners, the OBBBA delivers permanent 100% bonus depreciation (effective January 20, 2025), restored EBITDA-based interest deductibility under § 163(j), full domestic R&D expensing under new IRC § 174A, higher Section 179 limits (\$2.5M cap), and a permanent QBI deduction with expanded phase-in ranges. The SALT cap doubles to \$40,000 for 2025–2029 (with income-based phaseout above \$500,000 MAGI), and pass-through entity tax (PTET) workarounds survive intact. Courts and regulators have reshaped estate inclusion risk, grantor trust practice, and cross-border compliance obligations throughout 2025.

Part I: Business Tax Changes — TY2025 Forward

1.1 Bonus Depreciation — § 168(k): Permanent 100% Restoration

Current Law (TY2025): Under the OBBBA, the bonus depreciation allowance is permanently restored to 100% for qualified property acquired and placed in service after January 19, 2025 ([IRS OBBBA page](#); [Weaver analysis](#)). Property placed in service January 1–19, 2025 remains at 40% under pre-OBBBA law.

Property Window	Bonus Rate	Authority
Jan. 1–19, 2025	40%	Pre-OBBBA TCJA phase-down
Jan. 20, 2025 and later	100% (permanent)	OBBBA § 168(k)

Property Window	Bonus Rate	Authority
Qualified Production Property (new builds)	100% (temporary, see §1.3)	OBBBA § 168(n)

Advisor Implication: Retroactive modeling is required for calendar-year taxpayers. The split date within 2025 creates a hybrid year requiring careful asset-by-asset tracking. Per [IRS guidance](#), until regulations are issued, taxpayers may follow existing depreciation rules with updated dates and percentages. Bonus depreciation is still elective—taxpayers may opt out on a class-by-class basis under Reg. § 1.168(k)-2.

Risk Area: Taxpayers using floor-plan financing interest under the expanded motor vehicle definition (effective TY2025) **cannot** also claim bonus depreciation for that year. See § 1.4 below.

1.2 Section 179 Expensing: Permanent \$2.5 Million Cap

Current Law (TY2025): The OBBBA permanently raises the § 179 deduction limit to **\$2.5 million**, with a phase-out beginning at **\$4 million** in equipment purchases, effective for property placed in service in taxable years beginning after December 31, 2024 ([Warren Averett analysis](#)). Both limits are inflation-indexed.

Advisor Implication: Unlike bonus depreciation, § 179 is limited to taxable income and cannot create a loss—it retains its utility for selective asset planning. The expanded limits allow most small and mid-size capital expenditure programs to be fully expensed without touching bonus depreciation. For S corporations and partnerships, the § 179 limit flows through to the shareholder/partner level.

1.3 Qualified Production Property (QPP) — New § 168(n)

Current Law: The OBBBA creates a new **100% first-year deduction** for **Qualified Production Property** under new IRC § 168(n)—covering newly constructed nonresidential real property used in manufacturing, production, or refining of tangible goods in the U.S. ([EisnerAmper](#); [LSL CPAs](#)).

Requirements:

- Property must be used in the U.S. or a U.S. territory
- Original use must begin with the taxpayer
- Construction must begin after January 19, 2025, and before January 1, 2029
- Property must be placed in service after July 4, 2025, and before January 1, 2031
- Taxpayer must make an affirmative election

Applies to both regular and AMT. The unused property exception is available for buildings not used in qualified production activity between January 1, 2021 and May 12, 2025.

Advisor Implication: This is a transformative incentive for manufacturers, food processors, and energy producers. The property must be majority-dedicated to direct production activities (not

offices or warehousing). Cost segregation studies remain critical to identify components eligible for standard 100% bonus depreciation versus QPP treatment.

1.4 Section 163(j) Business Interest Expense: EBITDA Restored + New Limitations

Current Law (TY2025 and 2026+): The OBBBA permanently restores the EBITDA-based adjusted taxable income (ATI) computation under § 163(j), effective for tax years beginning after December 31, 2024 ([Grant Thornton](#); [IRS Q&A page](#)).

Rule	Effective Date	Effect
ATI = EBITDA (add back D/A/depletion)	TY beginning after 12/31/2024	Increases deductible interest for capital-intensive businesses
Interest capitalization coordination	TY beginning after 12/31/2025	Elective interest capitalization no longer bypasses § 163(j)
Domestic ATI excludes CFC/international income items (Subpart F, § 956, NCTI, § 78 gross-up, certain § 245A)	TY beginning after 12/31/2025	Reduces ATI for businesses with CFC structures

Advisor Implication: Businesses with significant depreciation previously trapped under EBIT-based ATI will see materially higher deductible interest. However, the 2026 coordination rule prevents using elective capitalization to avoid § 163(j), and the exclusion of CFC-related income from domestic ATI negates some benefit for multinationals. The small business exemption (< ~\$31M average annual gross receipts under § 448(c)) is unaffected.

1.5 Domestic Research & Experimental Expenditures — New § 174A

Current Law (TY2025): The OBBBA creates new IRC § 174A, allowing immediate deduction of domestic research or experimental (R&E) expenditures for taxable years beginning after December 31, 2024 ([Anchin](#); [Rev. Proc. 2025-28](#)). Foreign R&E expenditures continue to be capitalized and amortized over 15 years.

Key Transition Rules (Rev. Proc. 2025-28):

- Taxpayers may elect to deduct or amortize unamortized domestic R&E costs from TY2022–2024 ratably over 1 or 2 years, beginning with the first year starting after 12/31/2024
- **Small businesses** ($\leq$ \$31M avg. gross receipts) may elect retroactive application back to TY2022
- § 280C interaction restored: taxpayers claiming the full R&D credit must reduce § 174A costs; alternatively, elect the reduced credit under § 280C(c)

Advisor Implication: This is a major retroactive planning opportunity for closely held businesses and professional service firms with qualifying R&E. Many calendar-year taxpayers can recapture previously capitalized TY2022–2024 costs beginning on their 2025 returns. The accounting method change is filed automatically. Foreign R&E remains adversely positioned—global IP structuring deserves fresh review.

1.6 Qualified Small Business Stock (QSBS) — § 1202 Expansion

Effective TY2026 (post-OBBA acquisitions): The OBBA significantly expands § 1202 QSBS benefits for stock acquired after the effective date ([Husch Blackwell](#); [Holland & Knight](#)).

Holding Period	Exclusion %	Cap (Post-OBBA)
≥ 3 but < 4 years	50%	Greater of \$15M (inflation-indexed) or 10× adjusted basis
≥ 4 but < 5 years	75%	Same
≥ 5 years	100%	Same

Pre-OBBA QSBS: 100% exclusion (5-year hold only), cap = \$10M or 10× basis.

New qualifying corporation asset threshold: Raised to **\$75 million** (from \$50M) at time of issuance.

Advisor Implication: The tiered holding period structure introduces partial exclusion options unavailable under prior law. Per-issuer caps are per taxpayer across all prior dispositions—ownership restructuring among family members and non-grantor trusts (subject to § 643(f) anti-abuse) can stack multiple \$15M exclusions. The § 1045 rollover rules interact with new QSBS in ways requiring fresh analysis at exit. Anti-abuse and stacking rules demand contemporaneous documentation.

1.7 Third-Party Network Transaction Reporting Threshold

Current Law: The OBBA raises the backup withholding threshold for third-party settlement organizations (TPSOs—e.g., PayPal, Venmo, Etsy) back to **> \$20,000 AND > 200 transactions**, replacing the \$600 threshold under prior law ([IRS OBBA page](#)). Proposed regulations have been published.

Advisor Implication: Sole proprietors, gig workers, and small retailers using payment platforms receive significant relief from the aggressive \$600 Form 1099-K reporting that was planned. However, income remains taxable regardless of whether a 1099-K is issued.

1.8 Employee Retention Credit (ERC) Limitation

Current Law: The OBBA limits credits and refunds for ERCs claimed for Q3 and Q4 of 2021 that were filed after January 31, 2024 ([IRS OBBA page](#)). This retroactively bars late-filed Q3/Q4 2021 ERC refunds.

Advisor Implication: Closely held businesses with pending ERC refund claims for Q3/Q4 2021 submitted after January 31, 2024 face statutory disallowance. Review claim status immediately. Appeals rights apply. Businesses should not book expected refunds until claim viability is confirmed.

1.9 SALT Deduction Cap: \$40,000 for 2025–2029

Current Law: The OBBBA raises the individual SALT deduction cap from \$10,000 to **\$40,000** (\$20,000 MFS) for TY2025 through TY2029, indexed at 1% annually ([Anchin SALT analysis](#); [Creative Planning](#)).

Tax Year	SALT Cap (MFJ)	MAGI Phaseout Starts	Full Phaseout
2025	\$40,000	\$500,000	\$600,000
2026	\$40,400	\$505,000	~\$609,300
2027	\$40,804	\$510,050	~Increases 1%
2028–2029	Increases 1%/yr	Increases 1%/yr	Floor \$10,000
2030+	\$10,000 (permanent)	N/A	N/A

The phaseout reduces the cap by 30% of excess MAGI above \$500,000, but the deduction cannot fall below \$10,000.

PTET Workaround Preserved: Despite legislative proposals to restrict entity-level pass-through entity taxes, the OBBBA did not limit PTET elections ([JP Morgan](#)). PTEs in participating states continue to benefit from IRS Notice 2020-75 authorization.

Advisor Implication for HNW Clients: The \$40K cap provides meaningful relief for clients with MAGI between \$250K and \$500K in high-tax states. For clients above \$600K MAGI, the SALT benefit collapses to the \$10K floor—PTET elections remain the primary workaround. The 2030 reversion to \$10K creates a 5-year planning window demanding proactive structuring now.

1.10 Individual Income Tax: Standard Deduction, New Deductions (TY2025)

Per the [IRS withholding guidance](#):

Item	2025 Amount
Standard deduction (MFJ)	\$31,500
Standard deduction (HH)	\$23,625
Standard deduction (Single/MFS)	\$15,750
No-tax-on-tips deduction	Up to \$25,000 (phases out > \$150K/\$300K MAGI)
No-tax-on-overtime deduction	Up to \$12,500/\$25,000 (MFJ) (phases out > \$150K/\$300K MAGI)
Senior deduction (age 65+)	\$6,000/\$12,000 (MFJ if both qualify) (phases out > \$75K/\$150K MAGI)
Child tax credit	\$2,200 per eligible child

Part II: Owner-Level Implications

2.1 Section 199A QBI Deduction: Made Permanent with Enhanced Phase-In

Current Law (TY2025 and 2026+): The OBBBA permanently extends the 20% qualified business income (QBI) deduction under § 199A, maintaining the effective top rate of 29.6% on QBI from pass-through entities ([CLA Connect](#); [KLR analysis](#)).

Key Changes Effective TY2026:

- Phase-in income ranges for SSTBs and the W-2 wage/capital limitation expand from \$100,000 to \$150,000 (MFJ) and \$50,000 to \$75,000 (all other filers)
- New inflation-adjusted **minimum \$400 QBI deduction** for taxpayers with ≥ \$1,000 of QBI from at least one actively participated business (material participation required)
- **TY2026 phase-in ranges:** \$403,500–\$553,500 (MFJ); \$201,750–\$276,750 (single/HH)
- **TY2025 phase-in ranges:** \$394,600–\$494,600 (MFJ); \$197,300–\$247,300 (single/HH)

Per [Rev. Proc. 2025-32](#), the \$400 and \$1,000 amounts under new § 199A(i) are adjusted for inflation beginning TY2027.

Advisor Implication: Some SSTB owners previously phased out of the deduction may now partially qualify beginning in 2026 due to the widened phase-in corridor. The \$400 minimum creates a planning floor but requires demonstrating material participation—this is critical for inactive investors in pass-throughs that might have claimed the deduction passively.

OBBBA Itemized Deduction Haircut (2/37ths Rule): For taxpayers in the top bracket, the OBBBA imposes an overall limitation on itemized deductions equal to a **2/37ths reduction**. An open interpretive question—noted in the [National Law Review](#)—is whether this affects deductions unique to estates and trusts, including the distribution deduction and § 642(c) charitable deduction. IRS scrutiny is expected; conservative modeling is advised.

2.2 Reasonable Compensation: S Corporation Owner-Operators

Authority: IRC § 3121(a); IRS Fact Sheet FS-08-25 ([IRS publication](#)); Reg. §§ 31.3121(a)-1, 31.3306(b)-1.

Rule: S corporation shareholder-employees must receive **reasonable compensation** for services before taking distributions. The IRS does not define reasonable compensation by formula—it is a **facts and circumstances analysis** considering duties performed, time commitment, complexity, industry standards, and comparable wages.

IRS Enforcement Focus: The IRS continues to scrutinize S corporations where shareholder-employee compensation is disproportionately low relative to distributions ([Tax Adviser analysis](#)). The preferred methodology is the **market approach** using comparable salary data (BLS, industry surveys).

Documentation Requirements:

- Written job description documenting roles and responsibilities
- Time allocation by function
- Market salary data with source documentation
- Board meeting minutes approving compensation
- Annual compensation analysis in the client file

Risk Trigger: Compensation below ~30–40% of S corp net income increases audit risk. Distributions in excess of W-2 wages are a red flag in the IRS's automated screening systems.

2.3 Retirement Planning: 2025 and 2026 Limits

Per IRS Notice 2024-80 and Notice 2025-67 (2026 limits):

Plan Type / Limit	2025	2026
401(k) / 403(b) elective deferrals § 402(g)	\$23,500	\$24,500
Catch-up (age 50+) § 414(v)(2)(B)(i)	\$7,500	\$8,000
Super catch-up (age 60–63) § 414(v)(2)(E)(i)	\$11,250	\$11,250
Defined contribution limit § 415(c)	\$70,000	\$72,000
Annual compensation limit § 401(a)(17)	\$350,000	\$360,000
Defined benefit limit § 415(b)	\$280,000	\$290,000
SIMPLE IRA deferrals	\$16,500	\$17,000
IRA contribution limit	\$7,000	\$7,500
IRA catch-up (age 50+)	\$1,000	\$1,100
Roth IRA phase-out (MFJ begin)	\$236,000	\$242,000
QCD limit (IRA to charity)	\$108,000	TBD

SECURE 2.0 RMD Rules (effective): RMD starting age is 73 (75 beginning in 2033 for those born in 1960 or later). The 10-year payout rule applies to most non-spouse designated beneficiaries. Penalty for missed RMDs is 25% (reducible to 10% if corrected timely) (Schwab).

Solo 401(k) for Owner-Operators: The total limit for 2025 is \$70,000 (employee + employer contributions). The super catch-up at ages 60–63 is \$11,250 above the \$7,500 standard catch-up, providing a significant late-career accumulation opportunity for closely held business owners.

2.4 Employer Childcare and PFML Credits (2026+)

Childcare Credit (§ 45F), permanently expanded (TY2026): Maximum credit rises from \$150,000 to \$500,000 (up to 40% of qualifying expenses); eligible small businesses ($\leq$ \$32M avg. gross receipts for 2026) can claim up to \$600,000 at 50% rate (KLR analysis).

Paid Family and Medical Leave (PFML) Credit (§ 45S), permanent: The OBBBA makes this credit permanent (it was expiring after 2025). Up to 25% of wages paid for qualified leave. Minimum employee work requirement reduced from 12 to 6 months.

Part III: Estate, Gift & GST Tax — 2025 and 2026

3.1 Current Exemption Amounts: 2025

Exemption Type	2025 Amount	Authority
Basic exclusion amount (unified estate/gift)	\$13,990,000	IRS Estate/Gift What's New
GST exemption	\$13,990,000	Same
Annual exclusion per donee	\$19,000	Morgan Lewis
Non-citizen spouse annual exclusion	\$190,000	Harris Beach Murtha
Special use valuation § 2032A cap	\$1,420,000 (approx.)	Rev. Proc. 2024-40

3.2 OBBBA Exemption Increase: \$15 Million Effective 2026 (No Sunset)

The OBBBA amends § 2010(c)(3), raising the basic exclusion amount to \$15,000,000 for calendar year 2026, indexed for inflation beginning 2027, with **no sunset provision** ([Arnold & Porter](#); [Morgan Lewis](#); [IRS OBBBA page](#)).

Exemption Type	2026 Amount	Authority
Basic exclusion amount (estate/gift)	\$15,000,000	OBBBA § 2010(c)(3); Rev. Proc. 2025-32
GST exemption	\$15,000,000	Rev. Proc. 2025-32
Annual exclusion per donee	\$19,000 (unchanged)	IRS 2026 IR
Non-citizen spouse annual exclusion	\$194,000	Morgan Lewis 2026
Special use valuation § 2032A cap	\$1,460,000	VIP Wealth Advisors
AMT exemption for estates/trusts (2026)	\$31,400	Rev. Proc. 2025-32

Married couple combined exemption (2026): \$30,000,000 (utilizing portability for DSUE).

State Estate Taxes: The OBBBA does not affect state-level estate taxes. Twelve states and D.C. still impose estate taxes with substantially lower exemptions (e.g., New York: \$7,350,000 for 2026; Massachusetts: \$2,000,000) ([Harris Beach Murtha](#)).

3.3 Planning Implications of \$15M Exemption

Key shift: The urgency to make large lifetime gifts before year-end 2025 has been substantially reduced by the permanent extension. The "anti-clawback" regulations under Treas. Reg. § 20.2010-1(c) remain relevant but are less immediately pressured ([ACTEC Priority Guidance Plan](#)).

Remaining reasons to gift now:

- Removing future **appreciation** from the estate
- Current interest rate environment (low AFR = favorable for intra-family loans, GRATs, installment sales)
- State estate tax planning (grantor/non-grantor trust sitting in no-estate-tax jurisdictions)
- Gifting to dynasty trusts before trust assets grow

Critical planning pivot: Per the [National Law Review](#), with transfer tax a secondary concern for most clients, **income tax efficiency and basis planning** have become primary. Upstream gifting, basis-step-up planning via general powers of appointment, and asset substitution in grantor trusts deserve prioritization.

Portability: Portability elections remain critical. The 2025-2026 Priority Guidance Plan includes regulations under § 2010 addressing extension of the increased exemption and anti-clawback rules. *Estate of Rowland v. Commissioner*, T.C. Memo. 2025-76 (July 15, 2025) reaffirmed strict adherence to [Rev. Proc. 2017-34](#) for late portability elections—returns must be timely and complete.

Part IV: Domestic Planning Developments

4.1 Grantor Trusts: Income Tax Planning, Toggling, and IRS Scrutiny

Core Framework: A grantor trust is taxed entirely to the grantor for income tax purposes under §§ 671–679, while assets may or may not be included in the grantor's estate for estate tax purposes. This mismatch creates the foundational planning opportunity in intentionally defective grantor trusts (IDGTs).

Toggling: Grantor trust status can be turned on or off by exercising or releasing triggering powers (e.g., loan powers under § 675(3), power to reacquire under § 675(4), or substitution powers under § 675(4)(C)). Revenue Ruling 86-82 confirms that borrowing from the trust at any point during the year creates grantor trust status for the entire year.

2/37ths Limitation Open Question: The OBBBA's itemized deduction haircut for top-bracket taxpayers may apply to trust income tax deductions—including the § 661 distribution deduction and § 642(c) charitable deduction. The [National Law Review](#) flags this as an area where IRS scrutiny is anticipated pending further guidance.

Revenue Ruling 2004-64: Income tax payments by the grantor on grantor trust income are not gifts to beneficiaries so long as the trust instrument permits (not merely fails to prohibit) such payments. Chief Counsel Advice 2023-52018 distinguished this: when remainder beneficiaries

consent in a non-judicial settlement to add a reimbursement power not originally in the trust, those beneficiaries may be making a taxable gift.

4.2 Installment Sales to Grantor Trusts (IDGTs)

Rule: A sale of appreciated property from a grantor to an IDGT is disregarded for income tax purposes (grantor owns both sides), so no gain is recognized and no § 483 interest imputation applies. The grantor receives an installment note at the applicable federal rate (AFR), removing both the transferred asset and all future appreciation from the estate.

Key Requirements:

- Trust must be seeded with at least 10% equity (often 10–20% of purchase price) to support the commercial nature of the transaction
- Note must bear interest at or above the AFR
- Trustee must be independent for distribution decisions
- The sale must have economic substance distinct from a testamentary transfer

Pending IRS Scrutiny: The IRS has not formally attacked IDGTs, but the interplay of § 2036 retained interest arguments, § 2038, and the "economic substance" doctrine continue to evolve in litigation. Until regulations under § 2901 (proposed in prior administrations but never finalized) are issued, the IDGT strategy remains viable under authority of *Rev. Rul. 85-13* and private letter ruling guidance.

Risk at Death: If the grantor dies during the note term, the present value of remaining installment payments is included in the gross estate under § 2033. The appreciated transferred asset is not pulled back in—only the note receivable.

4.3 Family Limited Partnerships and LLCs: § 2036 Inclusion Risk

Governing Rule: IRC § 2036 includes in the gross estate property transferred during life if the decedent retained (a)(1) the possession or enjoyment of or right to income from the property, or (a)(2) the right, alone or in conjunction with any person, to designate who shall possess or enjoy the property or income from it. Exception: bona fide sale for adequate and full consideration with a significant non-tax purpose.

Current Enforcement Landscape:

- *Estate of Nancy Powell v. Commissioner*, 148 T.C. 392 (2017): Holding a durable power of attorney for a partner holding the general partner role—who can dissolve the partnership "in conjunction with" the decedent—triggers § 2036(a)(2) inclusion
- *Estate of [Decedent]*, T.C. Memo. 2024-90 (January 2025 discussion per Weaver): Tax Court reinforced § 2036 inclusion where decedent maintained control over FLP assets; *bona fide sale* exception not met

Protective Steps:

- Separate investment and distribution powers; use independent distribution advisors for tax-sensitive decisions
- Avoid placing attorney-in-fact of the decedent in the GP/managing member role
- Document legitimate non-tax purposes at formation and in ongoing records
- Ensure transferred assets are not needed for living expenses (implied retention under § 2036(a)(1))

4.4 Valuation: Discounts and Audit Risk

Pierce v. Commissioner, T.C. Memo. 2025-29 (April 7, 2025) ([Katten Muchin](#)): In a closely held S corporation gift/sale to irrevocable trusts, the Tax Court accepted:

- 26.2% entity-level tax affecting rate (Delaware Chancery method)
- 3% long-term growth rate
- Working-capital approach for excess cash
- 5% discount for lack of control
- 25% marketability discount
- Rejected taxpayer's additional risk premium; accepted IRS's 18% base cost of equity

Advisor Implication: Documented, method-supported appraisals using recognized financial models survive IRS challenge. The 40% gross valuation misstatement penalty under § 6662(e) is a substantial risk when appraisals are technically deficient or not from a "qualified appraiser" as defined under § 170(f)(11)(E). See *WT Art Partnership LP v. Commissioner*, T.C. Memo. 2025-30 (April 9, 2025) for a cautionary tale on appraisal deficiency.

4.5 GRAT Planning: *Elcan v. Commissioner* (Pending T.C. Case)

Case: *Elcan v. Commissioner*, No. 3405-25 (T.C. petition filed March 14, 2025) ([Katten Muchin](#)).

Issue: The IRS argues that using grantor promissory notes to satisfy GRAT annuity payments and substituting assets violated the requirements for a qualified annuity interest under § 2702, causing the GRAT to fail and the initial transfer to be treated as a taxable gift.

Current Status: Pending—no Tax Court ruling issued. This is the most significant pending GRAT case in recent years.

Advisor Implication: Exercise caution with: (1) non-cash annuity payments using promissory notes; (2) asset substitutions during the GRAT term. Until the Tax Court rules, the conservative position is to satisfy annuity obligations in cash or marketable securities only. With \$15M exemptions now permanent, the urgency of zeroed-out GRATs has diminished; review whether the risk/benefit profile still favors them for current clients.

4.6 QTIP Trust Planning: Anenberg and McDougall Cases

Takeaways from *Anenberg v. Commissioner*, 162 T.C. No. 9 (May 20, 2024) and *McDougall v. Commissioner*, 163 T.C. No. 5:

Per the ACTEC Foundation:

- Termination of a QTIP trust by distributing all assets to the surviving spouse does **not** trigger § 2519—not a disposition by the spouse under the "legal fiction" that the spouse owns 100%
- However, if remainder beneficiaries must consent to termination and give up their remainder interest to the surviving spouse, **the children may be making a taxable gift**
- CCA 2023-52018: If remainder beneficiaries consent in a non-judicial settlement to add a grantor reimbursement power not originally in the trust instrument, those consenting parties may be making a taxable gift—distinguished from Rev. Rul. 2004-64

Practice Point: Always make an explicit QTIP election on Schedule M of Form 706. *Estate of Martin W. Griffin v. Commissioner*, T.C. Memo. 2025-47 (May 19, 2025) (Katten Muchin) resulted in loss of the marital deduction because the estate failed to make the required affirmative QTIP election.

4.7 Delaware Asset Protection Trusts (DAPTs): Creditor Protection Affirmed

In the Matter of the CES 2007 Trust, C.A. No. 2023-0925-SEM (Delaware Chancery Court, May 2, 2025) (Katten Muchin):

The court dismissed creditor claims against a DAPT established before the dispute arose, holding that Delaware law does not permit creditors to disregard LLC entities or pierce qualified trusts absent clear evidence of fraud or abuse.

Practice Point: DAPTs provide strong protection when properly formed, administered, and timed. Conflict-of-law and full faith and credit challenges remain open questions in non-Delaware jurisdictions.

4.8 Opportunity Zone Program: Renewed and Restructured (OBBBA)

The OBBBA indefinitely extends and materially redesigns the QOZ program (NAHB; Shulman Rogers):

Feature	Old Rule	New Rule	Effective
Sunset	2028	Indefinite (10-year redesignation)	2026+
Income threshold for new designations	80% area median	70% (tighter)	2027
Rural OZ substantial improvement test	100%	50%	Immediate (Notice 2025-50 confirms retroactive for existing investments)

Feature	Old Rule	New Rule	Effective
New Qualified Rural OF (QROF) basis step-up	10% at 5 years	30% at 5 years	2027
7-year additional step-up	Available	Eliminated	2027
30-year frozen basis cap	None	FMV at 30th anniversary	2027
Capital gains deferral window for new investments	—	5 years from investment	2027+

4.9 Intrafamily Loans: Documentation Standards Affirmed

Estate of Barbara Galli v. Commissioner, Nos. 7003-20 & 7005-20 (T.C. March 5, 2025) ([Katten Muchin](#)):

The Tax Court upheld a \$2.3M intrafamily loan at AFR as a bona fide loan under § 7872—no gift arose—based on proper documentation and annual interest payments.

Required Documentation:

- Written promissory note executed contemporaneously
- Interest at or above the AFR (§ 1274(d) rates)
- Annual interest payments made and reported
- No conduct inconsistent with debtor-creditor relationship

Current AFR: Advisors should check the monthly [IRS revenue ruling](#) for the applicable period. Low-rate environments continue to favor intra-family lending structures.

Part V: Cross-Border and International Tax

5.1 Section 2801 Tax on Gifts/Bequests from Covered Expatriates: Final Regulations Effective

Authority: IRC § 2801; TD 10027 (final regulations issued January 10, 2025) ([Kostelanetz](#); [The Wolf Group](#)).

Rule: U.S. citizens and residents who receive a **covered gift or bequest** from a **covered expatriate** owe a **40% tax** on the excess value above the annual exclusion (\$19,000 in 2025).

Covered Expatriate Definition (2025 thresholds):

- Net worth $\geq$ \$2,000,000 at expatriation, **or**
- Average annual U.S. income tax liability $>$ \$206,000 over 5 years preceding expatriation, **or**
- Failed to certify compliance with all U.S. tax obligations for the 5 preceding years

Key Final Regulation Changes from Proposed:

- **Applicability:** Final regulations apply to covered gifts/bequests received on or after January 1, 2025. Transfers from June 17, 2008–December 31, 2024 are silent—potential relief period pending Form 708 instructions
- **Duplicate taxation eliminated:** Value of a covered gift previously subjected to § 2801 tax is excluded from any later covered bequest of the same property
- **Timely payment requirement removed:** Prior requirement that tax shown on a filed gift/estate return also be timely paid is eliminated
- **Electing foreign trust option:** A foreign trust may elect to be treated as a domestic trust for § 2801 purposes, shifting § 2801 liability to the trust and relieving U.S. distributees
- **Reporting:** Recipients must report on Form 708 (currently in draft—final form expected mid-2026)
- **Form 708 due date:** 15th day of the 18th calendar month following close of the calendar year in which the covered gift/bequest was received (with automatic 6-month extension available, not an extension to pay)
- **First Form 708 due date:** July 15, 2027 for gifts/bequests received in calendar year 2025
- **Form 3520 may additionally be required** if total foreign gifts from non-U.S. persons exceed \$100,000

Advisor Implication: This is a live, actionable compliance obligation for U.S. clients receiving distributions from foreign trusts or gifts from family members who may have expatriated. The pre-2025 period creates a potential amnesty window that practitioners should analyze carefully before filing.

5.2 Foreign Trust Reporting: Forms 3520 and 3520-A

Authority: IRC §§ 6048, 6677; [IRS Form 3520 Instructions \(12/2025\)](#); [IRS Foreign Trust page](#).

Who Must File Form 3520:

1. U.S. persons involved in a reportable event (creation of, or transfer to, a foreign trust)
2. U.S. persons treated as owner of any part of a foreign trust under §§ 671–679
3. U.S. persons who received distributions from a foreign trust, or whose related persons received loans, uncompensated use of trust property, or extensions of credit from a foreign trust
4. U.S. persons who received > \$100,000 from a nonresident alien/foreign estate (treated as gift/bequest)
5. U.S. persons who received > the § 6039F threshold from foreign corporations or foreign partnerships treated as gifts

Deadlines:

Return	Standard Due Date	Extension
Form 3520	April 15 (15th day of 4th month after TY end)	October 15 (with income tax extension)

Return	Standard Due Date	Extension
Form 3520-A	March 15 (15th day of 3rd month after trust TY end)	September 15 (if extension filed)
Form 3520 (U.S. persons abroad)	June 15	October 15

Penalties (§ 6677):

- Failure to file or incomplete filing: greater of \$10,000 or:
 - 35% of gross value of property transferred to foreign trust (Part I failures)
 - 35% of gross value of distributions received from foreign trust (Part III failures)
 - 5% of gross value of assets of foreign trust owned by U.S. person (if trust fails to file Form 3520-A)
- Foreign gifts (§ 6039F): 5% per month, maximum 25%
- Enhanced penalty (§ 6662(j)): 40% underpayment penalty (vs. 20%) for underpayments related to assets required to be reported on Form 3520-A

2025 IRS Enforcement Focus: The IRS has specifically announced increased focus on Form 3520-A and foreign grantor trusts ([Meadows Collier](#)).

Proposed Regulations under § 6048: Certain eligible individuals with tax-favored foreign retirement trusts may rely on proposed regulations for any tax year ending after May 8, 2024.

5.3 Foreign Tax Credit — Notice 2025-72 and OBBBA Changes

Authority: IRC § 901; [Notice 2025-72](#); [IRS Notice n-25-77.pdf](#).

Notice 2025-72 (November 25, 2025): Provides interim guidance on the allocation of foreign income taxes for foreign corporations affected by the OBBBA's repeal of the one-month deferral election under § 898(c)(2). Addresses § 987 transition gain/loss and mandatory short-year issues arising from OBBBA changes to foreign corporation tax years. Taxpayers may rely on this guidance for SFC tax years beginning after November 30, 2025.

Notice 2025-77 (IRS n-25-77.pdf): Announces intent to issue proposed regulations on § 960(d)(4), which disallows a 10% foreign tax credit for taxes paid on PTEP resulting from § 951A (NCTI/GILTI) inclusions after June 28, 2025.

5.4 NCTI/GILTI and FDDEI/FDII: OBBBA Restructuring (Effective TY2026)

Authority: OBBBA §§ renaming § 951A, § 250; [Grant Thornton International Tax Guide](#); [KLR](#).

Concept	Pre-OBBBA (through 2025)	Post-OBBBA (2026+)
GILTI →	GILTI (§ 951A; 50% deduction; 80% FTC)	NCTI (40% deduction; 90% FTC)

Concept	Pre-OBBBA (through 2025)	Post-OBBBA (2026+)
FDII →	FDII (37.5% deduction; ~13.1% effective rate)	FDDEI (33.34% deduction; ~14% effective rate)
QBAI exclusion	Reduces GILTI/FDII	Eliminated
Capital-intensive CFCs	Large QBAI = low GILTI	No QBAI → higher NCTI inclusions
Section 958(b)(4) downward attribution	Repealed under TCJA	Reinstated by OBBBA
New § 951B	N/A	Foreign-controlled U.S. shareholders taxed on FCFC Subpart F/NCTI

Effective Rates (2026):

- NCTI: approximately 12.6%–14% (varies based on FTC coverage)
- FDDEI: approximately 14%
- BEAT minimum rate: 10.5% (previously 10%)

Advisor Implication: Capital-intensive CFCs that previously generated little GILTI due to large QBAI now face significant NCTI inclusions. Planning must incorporate entity-by-entity jurisdiction-level modeling of effective tax rates, FTC capacity, and NCTI high-tax exception. Reinstating § 958(b)(4) reduces unintended CFC status for U.S. minority investors, but new § 951B creates a targeted regime for foreign-controlled U.S. shareholders.

5.5 Income Tax Treaties

Current Status (2025): The U.S. maintains income tax treaties with approximately 68 countries. No major new treaties were ratified in 2025. Existing treaty network remains operational for withholding, residency tie-breakers, business profits, and anti-abuse provisions ([IRS Treaties page](#)).

Active Planning Points:

- Treaty residency positions interact with the § 2801 regime—expatriation analysis must consider both income and transfer tax treaty positions
- The "savings clause" in U.S. treaties preserves U.S. taxing authority over U.S. citizens regardless of treaty residency—particularly relevant for NRAs with U.S. estate exposure
- OECD Pillar Two global minimum tax (15%) continues to develop internationally; U.S. domestic implementation remains pending

5.6 FBAR and FATCA Compliance: Enforcement Risk (2025–2026)

Authority: 31 U.S.C. § 5314; 26 U.S.C. § 6038D; FinCEN Form 114; Form 8938.

FBAR Penalties (inflation-adjusted):

- Non-willful: up to the inflation-adjusted cap per violation per year

- Willful: greater of 50% of account balance or the inflation-adjusted dollar cap, plus potential criminal exposure

FATCA Form 8938 Thresholds (U.S.-resident individuals):

- Single filer: > \$50,000 year-end or > \$75,000 during year
- MFJ: > \$100,000 year-end or > \$150,000 during year
- Elevated for individuals abroad: > \$200,000 year-end or > \$300,000 during year

IRS Enforcement: The IRS's Strategic Operating Plan identifies high-income and high-wealth individuals with foreign accounts as a priority enforcement category ([TaxesForExpats analysis](#)). AI-driven compliance screening is increasingly being used to identify FATCA-FBAR discrepancies.

5.7 Corporate Transparency Act (CTA) / Beneficial Ownership Reporting

Current Status: On March 21, 2025, FinCEN issued an interim final rule **removing the requirement** for U.S. (domestic) companies and U.S. persons to report beneficial ownership information (BOI) ([FinCEN.gov](#)). Foreign reporting companies have an extended deadline (April 25, 2025 minimum). Treasury confirmed this [suspension on March 2, 2025](#).

Open Questions: The [National Law Review](#) notes that questions remain regarding previously filed domestic reports and future deadlines. Entities should maintain documentation and readiness pending further regulatory action.

Part VI: Controversy, Litigation, and Enforcement

6.1 Key 2025 Tax Court and Federal Court Decisions

Case	Citation	Date	Holding	Advisor Takeaway
<i>Estate of Martin W. Griffin v. Commissioner</i>	T.C. Memo. 2025-47	May 19, 2025	Estate lost marital deduction because of missing affirmative QTIP election	Always make explicit QTIP election on Form 706 Schedule M
<i>Elcan v. Commissioner</i>	No. 3405-25 (pending)	March 14, 2025	IRS argues GRAT fails due to grantor note annuity payments and asset substitutions	Use cash/marketable securities for annuity payments; monitor outcome
<i>Pierce v. Commissioner</i>	T.C. Memo. 2025-29	April 7, 2025	Closely held S corp valuation: 25% DLOM, 5% minority discount, accepted; IRS's cost of equity accepted	Robust, method-supported appraisals by qualified appraisers are essential
<i>WT Art Partnership LP v. Commissioner</i>	T.C. Memo. 2025-30	April 9, 2025	40% gross valuation misstatement penalty for technically deficient appraisal	Qualified appraiser requirement under § 170(f)(11)(E) is strictly enforced
<i>In the Matter of the CES 2007 Trust</i>	C.A. No. 2023-0925-SEM	May 2, 2025	Delaware DAPT withstood creditor attack under Qualified Dispositions in Trust Act	Proper formation, administration, and pre-dispute timing are critical

Case	Citation	Date	Holding	Advisor Takeaway
<i>Estate of Barbara Galli v. Commissioner</i>	Nos. 7003-20 & 7005-20	March 5, 2025	AFR intrafamily loan at \$2.3M upheld as bona fide; no gift found	Document, administer, and respect all loan formalities
<i>Estate of Rowland v. Commissioner</i>	T.C. Memo. 2025-76	July 15, 2025	Portability election denied for untimely and incomplete Form 706	Rev. Proc. 2017-34 requirements strictly enforced; complete, timely filing is mandatory

Sources: [Katten Muchin Caselaw Update](#); [ACTEC Foundation IRC 2036 podcast](#).

6.2 IRS Enforcement Priorities (2025–2026)

Priority Guidance Plan (2025–2026): Released September 30, 2025, the [2025-2026 Priority Guidance Plan](#) contains 105 guidance projects organized around:

1. OBBBA implementation — 40 projects
2. Deregulation and burden reduction — 46 projects
3. Tribal tax guidance — 3 projects
4. Digital assets — 6 projects
5. SECURE 2.0 Act — 8 projects

Estate/Gift/Trust-specific priority projects:

- Regulations under § 2010 re: extended/enhanced estate/gift exemption amounts and anti-clawback
- Final regulations under §§ 1014(f) and 6035 (basis consistency—completed)
- Regulations under § 2032 (alternate valuation restrictions)
- Final regulations under § 2053 (interest expense and guarantees—proposed 6/28/2022)
- Guidance under § 2056A (QDOT distributions)
- Regulations under § 2632 (GST exemption allocation)
- Final regulations under § 2642 (inclusion ratio on trust interest sale)

Audit Risk Areas:

- **High-income individuals (> \$400K):** Audit rates increasing per IRS strategic plan
- **S corporation reasonable compensation:** Ongoing scrutiny; IRS FS-08-25 fact sheet confirms
- **ERC claims filed after Jan. 31, 2024 for Q3/Q4 2021:** Statutory bar under OBBBA
- **CRAT listed transactions:** IRS proposed regulations (March 2024) target CRAT/SPIA combinations; ACTEC reports finalization as a 2024-2025 priority project completed
- **Foreign trust non-filers:** IRS Form 3520-A enforcement campaign ongoing ([Meadows Collier](#))

- **Large partnership audits:** IRS Large Partnership Compliance (LPC) program continues targeting partnerships with >\$10M in assets

6.3 Post-Chevron Regulatory Landscape

The Supreme Court's rejection of *Chevron* deference (*Loper Bright Enterprises v. Raimondo*, June 2024) has materially altered the regulatory environment. Existing and upcoming Treasury regulations are more vulnerable to judicial challenge. The [National Law Review](#) notes this creates a lighter Priority Guidance Plan and less predictability in regulatory outcomes. Practitioners should monitor challenges to existing regulations in areas such as § 2704 valuation, conservation easement restrictions, and foreign trust attribution rules.

Part VII: Compliance Deadlines and Open Questions

7.1 Key Compliance Dates and Deadlines

Obligation	Deadline	Authority
Form 709 (gift tax return — 2025 gifts)	April 15, 2026 (Oct. 15, 2026 with extension)	§ 6075
Form 706 (estate return — 2025 decedents)	9 months after date of death	§ 6075(a)
Form 3520 (foreign trust/gift reporting)	April 15, 2026 (Oct. 15, 2026 with extension)	§ 6048; Form 3520 Instructions
Form 3520-A (foreign trust annual statement)	March 15, 2026 (Sept. 15 with extension)	§ 6048(b)
FBAR (FinCEN Form 114)	April 15, 2026 (auto-extension to Oct. 15)	31 C.F.R. § 1010.306
Form 708 (§ 2801 tax — first-ever; 2025 receipts)	July 15, 2027 (18th month after 2025 year-end)	TD 10027
Form 5471 / 5472 / 8865 (CFC/foreign corp reporting)	With income tax return	§§ 6038, 6038A
QOZ rural substantial improvement threshold	Already effective (July 4, 2025)	OBBBA; Notice 2025-50
SALT cap increase (\$40,000)	TY2025 (retroactive to Jan. 1, 2025)	OBBBA
100% bonus depreciation	Jan. 20, 2025 and later	OBBBA § 168(k)
§ 179 limit (\$2.5M)	TY beginning after 12/31/2024	OBBBA
§ 174A domestic R&D full deduction	TY beginning after 12/31/2024	OBBBA; Rev. Proc. 2025-28
§ 163(j) EBITDA restoration	TY beginning after 12/31/2024	OBBBA
Estate/gift/GST exemption \$15M	Jan. 1, 2026 deaths and gifts	OBBBA § 2010(c)(3)
NCTI/FDDEI new regime	TY beginning after 12/31/2025	OBBBA
HSA-compatible bronze/catastrophic plans	Jan. 1, 2026	OBBBA

7.2 Open Questions Awaiting Guidance

Issue	Status	Risk Level
2/37ths itemized deduction haircut — applicability to trust distribution deduction and § 642(c)	No guidance; IRS scrutiny expected	High
GRAT validity using grantor notes for annuity (<i>Elcan</i> case)	Pending Tax Court	High (monitor)
Regulations under § 2010 (anti-clawback; exemption extension)	Listed in 2025-2026 PGP	Medium
Form 708 final form and instructions	Expected mid-2026	High (filing cannot proceed without form)
§ 2801 treatment of pre-2025 covered gifts (June 2008–Dec. 31, 2024 gap)	Silent in final regulations	Moderate
§ 174A interaction with state tax conformity	State-by-state; no uniform federal guidance	Medium
QSBS stacking/anti-abuse rules for multiple trusts under § 643(f)	No regulations; relying on existing law	Medium
§ 960(d)(4) proposed regulations (FTC on PTEP from NCTI inclusions)	Notice 2025-77 issued; proposed regs pending	High for C corp multinationals
Section 958(b)(4) reinstatement and § 951B (FCUSS/FCFC) interaction	No regulatory guidance yet	High for international structures
SECURE 2.0 remaining guidance items (8 PGP projects)	In progress	Medium

Part VIII: Practical Takeaways by Client Type

8.1 Domestic Small Business Owners (Pass-Through Entities)

Planning Opportunities:

- **Model TY2025 retroactively** for bonus depreciation (100% from Jan. 20, 2025 vs. 40% for Jan. 1–19), § 179 (\$2.5M limit), § 163(j) EBITDA restoration, and § 174A domestic R&D full deduction
- **File accounting method changes** for § 174A to deduct/recover previously capitalized domestic R&E costs from TY2022–2024 (Rev. Proc. 2025-28 procedures)
- **Document reasonable compensation** for all S corporation owner-employees using the market approach with contemporaneous records
- **Evaluate PTET elections** in applicable states—workaround survived; coordinate with the \$40K SALT cap and income-based phaseout
- **Review entity form:** For entities with < \$75M enterprise value planning a future sale or outside investment, model C corp conversion for QSBS eligibility and potential 100% gain exclusion on exit
- **Exit planning:** Consider installment sale structures, QSBS positioning, and § 1031 or DST structures for real estate-intensive businesses

- **Update Section 179 and bonus depreciation elections annually;** consider timing capital expenditures for maximum first-year deduction within the new permanent framework

Risk Areas:

- ERC claims for Q3/Q4 2021 filed after Jan. 31, 2024 are now barred
- Clean energy credits (30D, 25E, 45W, 25C, 25D) terminated by OBBBA before prior sunset dates
- § 163(j) coordination rule (effective TY2026): review elective interest capitalization strategies now
- Floor-plan financing interest election: incompatible with bonus depreciation in the same year

8.2 Internationally Connected Owners and Families

Planning Opportunities:

- **Section 2801 compliance:** Audit all foreign family members who may be covered expatriates; identify outstanding covered gifts/bequests; prepare for Form 708 when issued (first due July 2027 for 2025 receipts)
- **Evaluate electing foreign trust status** under the § 2801 final regulations to shift liability to the trust (for foreign trusts funded by covered expatriates)
- **NCTI/FDDEI modeling:** For C corporation parents of CFCs, complete jurisdiction-by-jurisdiction analysis for 2026: recompute NCTI inclusions (QBAI eliminated), FDDEI base expansion, § 163(j) domestic ATI reduction for CFC income, and BEAT exposure
- **FDII/FDDEI timing:** Accelerate qualifying export sales into 2025 where the more generous 37.5% deduction (13.1% effective rate) may produce better outcomes than 2026's 33.34% (14% effective rate)—but model individual facts given base expansion
- **Section 958(b)(4) reinstatement:** U.S. minority investors in structures relying on downward attribution repeal should re-evaluate CFC status
- **Foreign trust compliance audit:** Form 3520 and 3520-A filing histories; penalty exposure under § 6677; Rev. Proc. 2014-55 and 2020-17 exemptions for qualified foreign retirement plans
- **FBAR/FATCA self-audit** for all clients with foreign accounts; streamlined filing procedures available for non-willful non-compliance

Risk Areas:

- § 960(d)(4) FTC disallowance on PTEP from post-June 28, 2025 NCTI inclusions—Notice 2025-77 signals proposed regulations
- New § 951B FCUSS/FCFC regime may impose Subpart F/NCTI on previously non-taxed structures
- IRS Form 3520-A enforcement campaign is active

- § 2801 pre-2025 coverage gap is uncertain—protective filings may be warranted pending Form 708 issuance

8.3 Estate-Planning-Sensitive Clients (HNW/UHNW)

Planning Opportunities:

- **No immediate rush for large gifts:** The \$15M permanent exemption eliminates the urgency of 2025 year-end gifting, but early gifts still remove appreciation and provide flexibility
- **Basis optimization:** With lower estate tax exposure, the **step-up in basis** at death (§ 1014) may be more valuable than removing appreciation via completed gifts. Consider upstream planning, substitution powers in grantor trusts, and carefully crafted general powers of appointment
- **Non-grantor trust SALT stacking:** Non-grantor trusts can claim their own SALT deduction, potentially capturing additional \$40K SALT benefit; beware § 643(f) anti-abuse for multiple trusts with substantially the same grantors/beneficiaries
- **QSBS planning:** Map founder and family ownership; consider share division strategies among family members and non-grantor trusts for multiple \$15M per-issuer exclusion caps
- **Dynasty trust drafting:** Include robust decanting, special/formula powers of appointment, substitution powers, and trust protectors; build in grantor trust flexibility while remaining mindful of § 2036 and toggling implications
- **State estate tax planning:** Twelve states + D.C. still impose estate taxes with lower exemptions (e.g., NY at \$7.35M for 2026); siting of non-grantor trusts, trustee location, and source of income remain important
- **DAPT planning:** Affirmed by Delaware Chancery Court; properly timed and administered trusts provide strong creditor protection

Risk Areas:

- § 2036 inclusion risk in FLPs and family LLCs remains elevated post-*Powell*; retained control or "in conjunction with" authority is fatal
- GRAT structures using promissory notes or asset substitutions face pending litigation risk (*Elcan*)
- QTIP election errors remain a documented source of marital deduction loss (*Griffin*)
- Portability elections must be timely and complete (*Rowland*)
- CRAT/SPIA transactions are listed transactions; Form 8886 disclosure required; propose not to use this structure
- Trust distribution planning under the 2/37ths deduction haircut needs conservative modeling pending IRS guidance

Authority Map

Authority	Type	Key Rule	Relevance	URL
IRC § 168(k) (OBBBA)	Statute	100% bonus depreciation permanent, effective Jan. 20, 2025	Business capital planning	IRS OBBBA page
IRC § 168(n) (OBBBA)	Statute	100% QPP deduction for qualifying manufacturing buildings, 2025–2030	Manufacturing clients	EisnerAmper
IRC § 179 (OBBBA)	Statute	\$2.5M limit, \$4M phaseout, permanent	Small business capital	Warren Averett
IRC § 174A (OBBBA)	Statute	Full domestic R&E deduction; 15-yr amortization for foreign	R&D-intensive businesses	Anchin
IRC § 163(j) (OBBBA)	Statute	EBITDA-based ATI restored; new coordination rule (2026); CFC exclusions (2026)	Leveraged businesses	Grant Thornton
IRC § 199A (OBBBA)	Statute	20% QBI deduction permanent; expanded phase-in; \$400 minimum	Pass-through owners	KLR
IRC § 1202 (OBBBA)	Statute	QSBS: \$15M cap, \$75M threshold, tiered holding period	Startup/exit planning	Husch Blackwell
IRC § 2010(c)(3) (OBBBA)	Statute	BEA = \$15M for 2026, no sunset, inflation-indexed from 2027	Estate/gift planning	IRS Estate page
Rev. Proc. 2025-32	IRS Guidance	Official 2026 inflation adjustments; confirms \$15M BEA, \$19K annual exclusion, \$194K non-citizen spouse exclusion	All estate planning	Rev. Proc. 2025-32
Rev. Proc. 2025-28	IRS Guidance	§ 174A domestic R&E election procedures; accounting method change	R&E expensing	RSM
Notice 2025-72	IRS Guidance	§ 987 / § 898 transition rules post-OBBBA for foreign corps	Multinational planning	RSM Notice 2025-72
Notice 2025-77	IRS Guidance	§ 960(d)(4) FTC disallowance on PTEP from NCTI inclusions	CFC structure planning	IRS n-25-77.pdf
IRS Notice 2024-80	IRS Guidance	2025 retirement plan COLA limits	Retirement planning	IRS n-24-80.pdf
IRS Notice 2025-67	IRS Guidance	2026 retirement plan COLA limits	Retirement planning	IRS n-25-67.pdf
TD 10027 (§ 2801 final regs)	Treasury Regulation	§ 2801 tax on covered gifts/bequests; effective Jan. 1, 2025	Cross-border estates	Kostelanetz
Form 3520 Instructions (12/2025)	IRS Official	Foreign trust reporting rules, deadlines, penalties	Foreign trust compliance	IRS Form 3520 Instructions
IRS FS-08-25	IRS Fact Sheet	S corp officer reasonable compensation standard	S corp planning	IRS FS-08-25.pdf
Rev. Rul. 2004-64	Revenue Ruling	Grantor reimbursement for income tax is not a gift	Grantor trust planning	ACTEC/IRS

Authority	Type	Key Rule	Relevance	URL
<i>Estate of Griffin</i> , T.C. Memo. 2025-47	Tax Court	Missing QTIP election = loss of marital deduction	Estate compliance	Katten
<i>Elcan v. Commissioner</i> , No. 3405-25	Tax Court (pending)	GRAT note annuity/substitution risk	GRAT structuring	Katten
<i>Pierce v. Commissioner</i> , T.C. Memo. 2025-29	Tax Court	S corp valuation; DLOM/minority discounts accepted	Valuation planning	Katten
<i>Estate of Rowland</i> , T.C. Memo. 2025-76	Tax Court	Portability denied for untimely/incomplete Form 706	Portability planning	Katten
<i>Estate of Galli</i> , Nos. 7003-20 & 7005-20	Tax Court	AFR intrafamily loan upheld; no gift	Intra-family lending	Katten
FinCEN Interim Final Rule (3/21/2025)	Federal Regulation	Domestic companies exempt from BOI reporting	Entity compliance	FinCEN.gov
2025-2026 Priority Guidance Plan	IRS/Treasury Plan	105 projects; OBBBA implementation focus	Forward planning	ACTEC

This dossier reflects law and guidance as of May 24, 2026. All positions should be confirmed against current primary authority before filing or advising. Open items are noted throughout. This document is prepared for professional advisor use and does not constitute advice to any specific taxpayer.